Yield Protocol

SMART CONTRACT AUDIT

ZOKYO.

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PASS

Zokyo's Security Team has concluded that this smart contract passes security qualifications to be listed on digital asset exchanges

TECHNICAL SUMMARY

This document outlines the overall security of the Yield Protocol token smart contracts, evaluated by Zokyo's Blockchain Security team.

The scope of this audit was to analyze and document the Yield Protocol smart contract codebase for quality, security, and correctness.

Contract Status

There were no critical issues found during the audit.

It should be noted that this audit is not an endorsement of the reliability or effectiveness of the contract, rather limited to an assessment of the logic and implementation. In order to ensure a secure contract that's able to withstand the Ethereum network's fast-paced and rapidly changing environment, we at Zokyo recommend that the Yield Protocol team put in place a bug bounty program to encourage further and active analysis of the smart contract.

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AUDITING STRATEGY AND TECHNIQUES APPLIED

The Smart contract's source code was taken from the Yield Protocol repo main branch.
Main Branch and File – https://github.com/yield-protocol/yieldtoken.
Last commit – 56ccc747e91f4da4f5a1e622f2b10d9ffd67d758.

Requirements:
https://daomaker.com/incubation/yield_protocol.

Throughout the review process, care was taken to ensure that the token contract:

- Implements and adheres to existing Token standards appropriately and effectively;
- Documentation and code comments match logic and behavior;
- Distributes tokens in a manner that matches calculations;
- Follows best practices in efficient use of gas, without unnecessary waste;
- Uses methods safe from reentrance attacks;
- Is not affected by the latest vulnerabilities;
- Whether the code meets best practices in code readability, etc.

Zokyo's Security Team has followed best practices and industry-standard techniques to verify the implementation of Yield Protocol smart contracts. To do so, the code is reviewed line-by-line by our smart contract developers, documenting any issues as they are discovered. Part of this work includes writing a unit test suite using the Truffle testing framework. In summary, our strategies consist largely of manual collaboration between multiple team members at each stage of the review:

1	Due diligence in assessing the overall code quality of the codebase.	3	Testing contract logic against common and uncommon attack vectors.
2	Cross-comparison with other, similar smart contracts by industry leaders.	4	Thorough, manual review of the codebase, line-by-line.

SECURITY SUMMARY

There were no critical issues found during the audit.

Contracts are well written and structured. The Yield Protocol team has used standard OpenZeppelin contracts with no modifications which eliminates any probability of mistake.

Worth noting that Yield Protocol is using relatively innovative permit functionality which allows users to perform the approve transaction and the following transaction in one, improving user experience. This was first seen within Maker DAO source code and gets spreaded recently. Permit functionality was not yet formally audited within OpenZeppelin's library.

We are grateful to have been given the opportunity to work with the Yield Protocol team.

The statements made in this document should not be interpreted as investment or legal advice, nor should its authors be held accountable for decisions made based on them.

Zokyo's Security Team recommends that the Yield Protocol team put in place a bug bounty program to encourage further analysis of the smart contract by third parties

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